Points to remember

- ❖ When accounting records are not strictly maintained according to double entry system they are called incomplete accounting records.
- ❖ In general, only cash and personal accounts are maintained fully.
- ❖ Any increase in capital is taken as profit while a decrease is regarded as loss.
- ❖ Closing Capital + Drawings – Additional Capital – Opening Capital = Profit/ Loss
- ❖ A statement of affairs is prepared to find out capital on a particular day by showing the balances of assets on the right side and the balances of liabilities on the left side.
- ❖ From the information available from incomplete records, and from other documents, the missing figures can be found out and then the final accounts can be prepared.

Self–examination questions

SXYH4

I Multiple choice questions

Choose the correct answer

1. Incomplete records are generally maintained by

(a) A company (b) Government

(c) Small sized sole trader business (d) Multinational enterprises

2. Statement of affairs is a

(a) Statement of income and expenditure (b) Statement of assets and liabilities

(c) Summary of cash transactions (d) Summary of credit transactions

3. Opening statement of affairs is usually prepared to find out the

(a) Capital in the beginning of the year (b) Capital at the end of the year

(c) Profit made during the year (d) Loss occurred during the year

4. The excess of assets over liabilities is

(a) Loss (b) Cash

(c) Capital (d) Profit

5. Which of the following items relating to bills payable is transferred to total creditors account?

(a) Opening balance of bills payable (b) Closing balance of bills payable

(c) Bills payable accepted during the year (d) Cash paid for bills payable

6. The amount of credit sales can be computed from

(a) Total debtors account (b) Total creditors account

(c) Bills receivable account (d) Bills payable account

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